

The Complete Financial Guide for Young Couples

prevailing interest rates, and the degree of risk is relative to the grade of bond.

INSURANCE ANNUITY: This investment requires a prescribed amount of money to be paid into the annuity and then the issuing insurance company promises you an income each month upon retirement.

The advantages of investing in annuities are: (1) they provide tax-deferred income—the earnings are allowed to accumulate, tax deferred, until you retire; (2) the investment is fairly liquid in that if you have to get some of your money out, you can, although there is often a penalty; and (3) relative to other tax sheltered investments, the returns are good.

But be aware that the stated yield of an insurance annuity is not necessarily what you will receive. Sometimes the percentage given is a gross figure, and there are sales and administrative costs to be deducted. It's best to ask for a net figure to do your comparisons. Be sure to get all quotes in writing from the agent offering the annuity. I would give an insurance annuity an income rating of about 3-4, primarily because it is a fixed return payable at a future date, and a risk rating of 5-6.

STOCK DIVIDENDS: Common stocks usually pay dividends based on the earnings of the company. Stocks have the advantage of being sold for relatively small amounts of money. In other words, it is possible to invest in a stock paying a dividend of 7-8 percent, and only have to risk \$25. Quite often this appeals to the small investor. The dividend or return on investment is totally related to the success of the issuing company. I would look for a company that has paid dividends for many years, particularly during economic hard times.

I personally believe the liabilities of relying on stock dividends for income outweigh the advantages. For one thing, all stock dividends are ultimately dependent on the company's profits. Just because a corporation has paid dividends for decades doesn't necessarily mean that it can continue to do so. The automobile industry in the early '80s is a good example. Some of the companies that had paid high rates of return for three and four decades had to cut their returns drastically.